

## 23BBCV02356 23BBCV02356

County: los-angeles

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Case Number: 23BBCV02356 Hearing Date: June 26, 2026 Dept: A

### TENTATIVE RULING

JUNE 26, 2026

(1) Motion FOR WAIVER OR  
MODIFICATION OF UNDERTAKING AND/OR STAY ENFORCEMENT PENDING APPEAL; and (2)  
MOTION TO QUASH SUBPOENA

Los

Angeles Superior Court Case # 23BBCV02356

Motion for Waiver of  
Modification of Undertaking

MP: Defendants Lance Zavela and Ryde Enterprises, LLC

RP: Plaintiff Complete Gym Solutions, LLC

Motion to Quash Subpoena

MP: Defendants

Lance Zavela and Ryde Enterprises, LLC, and dismissed non-party Jarvel  
Enterprises, LLC

RP: Plaintiff Complete  
Gym Solutions, LLC

NOTICE:

The Court

is not requesting oral argument on this matter. The Court is guided by California Rules of Court, Rule 3.1308(a)(1) whereby notice of intent to appear is requested. Unless the Court directs argument in the Tentative Ruling, no argument is requested and any party seeking argument should notify all other parties and the court by 4:00 p.m. on the court day before the hearing of the party's intention to appear and argue. The tentative ruling will become the ruling of the court if no argument is received.

Notice

may be given either by email at [email protected] or by telephone at (818) 260-8412.

ALLEGATIONS:

Complete

Gym Solutions, LLC ("Plaintiff") brought this action against Defendants Lance Zavela ("Zavela") and Ryde Enterprises, LLC ("Ryde"). Plaintiff alleged Zavela, its former National Sales Manager, misappropriated trade secrets; specifically Zavela utilized Plaintiff's confidential customer database to convince Plaintiff's customers to rent equipment from Zavela's new employer, Ryde.

The case

was initially filed on October 10, 2023. The First Amended Complaint ("FAC"), filed January 12, 2024, alleges: (1) California Uniform Trade Secret Act Misappropriation; (2) Intentional Interference with Contractual Relations; and (3) Violation of Business & Professions Code, § 17200.

RELEVANT

BACKGROUND:

On

November 7, 2024, the Court granted Plaintiff's motion for evidentiary and issue sanctions against Zavela and Ryde. On March 12, 2025, the Court granted Plaintiff's motion for terminating sanctions against Zavela and Ryde striking their answer and entering default due to continuous discovery violations. On March 24, 2025, the Court entered the Order Granting Plaintiff's Motion for Terminating Sanctions for Violation of Multiple Court Orders. That same day, Plaintiff

dismissed without prejudice Defendant Jarvel Enterprises, LLC. On July 18, 2025, the Court denied Zavela and Ryde's Motion for Reconsideration of the terminating sanctions order.

On

November 21, 2025, the Court granted Plaintiff's Motion for Order Determining: (1) Prevailing Party; (2) Award of Exemplary Damages Pursuant to Civil Code, § 3426.3(c); and (3) Award of Attorney's Fees Pursuant to Civil Code, § 3426.4, awarding actual damages of \$25,000 against Zavela, \$25,000 in actual damages against Ryde, \$50,000 in exemplary damages against Zavela only, and \$384,174 in attorney's fees jointly and severally against Defendants.

On

January 20, 2026, Judgment against Defendants Lance Zavela and Ryde Enterprises, LLC was entered, ordering: (1) Zavela to pay \$25,000 in compensatory damages and \$50,000 in punitive damages to Plaintiff; (2) Ryde to pay \$25,000 in compensatory damages to Plaintiff; (3) Defendants to pay \$384,174 in attorney's fees, jointly and severally; (4) \$6,908.20 in costs, jointly and severally; and (5) injunctive relief. (See Judgment at ¶¶2, 4.)

Defendants  
appealed.

On May

26, 2026, Plaintiff filed Writs of Execution (Money Judgment) against Lance Zavela and Ryde Enterprises.

MOTIONS ON CALENDAR:

There are  
two motions on calendar.

On March

19, 2026, Defendants filed a Motion for Waiver or Modification of Undertaking and/or Stay Enforcement Pending Appeal.

On May

18, 2026, Zavela, Ryde, and Jarvel Enterprises, LLC filed a Motion to Quash the Subpoena Duces Tecum in Connection with the Judgment Debtors' Examination.

On June

16, 2026, Plaintiff filed untimely oppositions to each motion (due by June 12, 2026). Concurrently, Plaintiff's counsel David Garcia filed a declaration stating that he attempted to have the documents submitted on June 12, 2026 but the documents were rejected as "defective." He states he did not receive the notice of rejection until June 16, 2026 and promptly filed corrected documents. (Garcia Decl., ¶¶3-7.)

On June 18, 2026, Defendants filed replies.

On June 22, 2026, Plaintiff filed Notices of Nonexistent Case Citation in Defendants' Reply and Evidentiary Objections.

On June 22, 2026, Defendants filed Notices of Errata regarding the incorrect case citations and substituted corrected case citations.

#### NON-EXISTENT CASE CITATIONS:

CRC Rule 8.204(a)(1)(B) requires each brief to state each point under a separate heading or subheading summarizing the point, and support each point by argument and, if possible, by citation of authority. (See also Cal. R. Prof. Conduct, Rule 3.3 [Candor Toward the Tribunal].)

"[N]o brief, pleading, motion, or any other paper filed in any court should contain any citations—whether provided by generative AI or any other source—that the attorney responsible for submitting the pleading has not personally read and verified." (Noland v. Land of the Free, L.P. (2025) 114 Cal.App.5th 426, 431 [imposing a monetary sanction against counsel].) "Many courts confronted with AI-generated authorities have concluded that filing briefs containing fabricated legal authority is sanctionable." (Id. at 444.)

As a

preliminary matter, Plaintiff filed notices following Defendants' reply briefs, arguing that Defendants improperly cited nonexistent cases: (1) "El Tish v. Smith (1962) 211 Cal.App.2d 61, 64-65" in its Motion to Quash Subpoenas at 10:21-25; and (2) "Managing Committee of Cortina v. Cortina (2006) 141 Cal.App.4th 245" in its Motion for Waiver/Modification at 9:21-25. Plaintiff requests that the cases be stricken or warrant a denial of Defendants' motions.

In  
response, Defendants filed notices of errata, withdrawing the citations.

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Defendants

replaced the citation in the Motion to Quash Subpoena with "Hooser v. Superior Court (2000) 84 Cal.App.4th 997, 1004 [holding that a judgment creditor's right to discover assets is not unfettered and must be balanced against the constitutional right to privacy and protected commercial interests]; see also Cal. Civ. Proc. Code § 708.120)."

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Defendants

replaced the citation in the Motion for Waiver/Modification with "(See Alshafie v. Lallande (2009) 171 Cal.App.4th 421, 431-432 [ruling on the necessity of a proper hearing for undertaking waivers to preserve the appellant's meaningful access to judicial review]; see also Cal. Civ. Proc. Code § 918 [granting the trial court broad statutory authority to stay the enforcement of any judgment pending a motion for waiver or modification of an undertaking])."

While the

Court declines to outright deny Defendants' motions for citing non-existent cases, the Court admonishes defense counsel for citing fabricated and/or AI-generated legal cases. If further violations occur, the Court would be inclined to impose monetary sanctions against defense counsel.

ANALYSIS

RE MOTION FOR WAIVER/MODIFICATION OF UNDERTAKING:

A.

## Legal Standard

C.C.P. § 917.1 states: in relevant part

(a) Unless an undertaking is given, the perfecting of an appeal shall not stay enforcement of the judgment or order in the trial court if the judgment or order is for any of the following:

(1) Money or the payment of money, whether consisting of a special fund or not, and whether payable by the appellant or another party to the action.

(2) Costs awarded pursuant to Section 998 which otherwise would not have been awarded as costs pursuant to Section 1033.5.

(3) Costs awarded pursuant to Section 1141.21 which otherwise would not have been awarded as costs pursuant to Section 1033.5.

(b) The undertaking shall be on condition that if the judgment or order or any part of it is affirmed or the appeal is withdrawn or dismissed, the party ordered to pay shall pay the amount of the judgment or order, or the part of it as to which the judgment or order is affirmed, as entered after the receipt of the remittitur, together with any interest which may have accrued pending the appeal and entry of the remittitur, and costs which may be awarded against the appellant on appeal. This section shall not apply in cases where the money to be paid is in the actual or constructive custody of the court; and such cases shall be governed, instead, by the provisions of Section 917.2. The undertaking shall be for double the amount of the judgment or order unless given by an admitted surety insurer in which event it shall be for one and one-half times the amount of the judgment or order. The liability on the undertaking may be enforced if the party ordered to pay does not make the payment within 30 days after the filing of the remittitur from the reviewing court.

(C.C.P. § 917.1(a)-(b).)

C.C.P. § 995.240 states: “The court may, in its discretion, waive a provision for a bond in an action or proceeding and make such orders as may be appropriate as if the bond were given, if the court determines that the principal is unable to give the bond because the principal is indigent and is unable to obtain sufficient sureties, whether personal or admitted surety insurers. In exercising its discretion the court shall take into consideration all factors it deems relevant, including but not limited to the character of the action or proceeding, the nature of the beneficiary, whether public or private, and the potential harm to the beneficiary if the provision for the bond is waived.”

“If it is apparent from the plaintiff’s declaration and financial information that obtaining an undertaking would be impossible, the law does not require the futile act of attempting to do so.” (Alshafie v. Lallande (2009) 171 Cal.App.4th 421, 436, fn.10.)

B.

Evidentiary

Objections

With

Plaintiff’s Notice of Nonexistent Case Citations, Plaintiff submitted evidentiary objections to Defendants’ reply brief and the accompanying declaration of defense counsel Noah Green.

The objections are not enumerated but the Court will consider them in consecutive order. Objection Nos. 1, 2, and 7 are sustained as to paragraph 3, 4, and 8 and Exhibits A-C as no exhibits are attached to the declaration.

Objection Nos. 3-5 as to paragraphs 6-8 regarding meeting and confer efforts are overruled. Objection No. 6

to Mr. Green’s declaration at paragraphs 10-11 in support of the reply arguments at 7:12-18 is sustained as his declaration does not speak to the arguments raised. Objection Nos. 8-9

citing to Mr. Green’s declaration at paragraph 8 as referenced in the reply brief at 8:15-21 are sustained to the extent that they do not support the arguments raised in the reply brief. With

respect to arguments in the reply brief, the objections are overruled as arguments are not evidence but the Court is sustaining the citations to evidence in the reply brief as specifically cited above.

C.

## Discussion

### Defendants

move for a waiver or modification of a C.C.P. § 917.1 undertaking, find that Defendants are indigent or unable to obtain sufficient sureties pursuant to section 995.240, and impose a stay of enforcement of Judgment pending appeal. Defendants argue that despite their efforts to obtain funds for a surety bond securing the Judgment, they lack the financial means to do so.

Defendants calculate that the collateral required to secure a surety bond is nearly \$700,000 for Zavela (based on his \$466,082.20 judgment) and \$625,000 for Ryde (based on its \$416,082.20 judgment), as surety companies typically require 150% of the judgment to issue a bond. (The Court notes that Defendants calculated the aforementioned judgment amounts by overlapping the joint-and-several liability portions and assigning them to each Defendant.)

### First, in

considering whether to apply section 995.240's waiver provision, the Court assesses whether Defendants are unable to give the bond because they are indigent and unable to obtain sufficient sureties.

### Defendants

argue that, despite best efforts, they have been unable to compile the more than \$625,000 in collateral estimated to be needed to post a bond to stay enforcement of the judgment pending appeal.

They argue the undertaking requirement should be waived or modified due to financial hardship, their inability to qualify for an appeal bond, and lack of prejudice to Plaintiff.

### The Court

has reviewed Defendants' declarations and exhibits and finds that the showing of indigency is insufficient to support granting this motion.

### Zavela

provides his FL-150, which reflects his total monthly income of \$6,000 and monthly estimated expenses of \$11,323.41.

(Zavela Decl., ¶6, Ex. 1 [Income and Expense Declaration].) He also provides a Wells Fargo letter, denying his application for a \$75,000 personal loan. (Id., ¶7, Ex. 2 [Feb. 24, 2026 Wells



Fargo Letter].) He states his primary checking account balance has about \$3,000 and that the highest balance he had from January 2025 to September 2025 was \$9,421.26, but typically his balance is between \$2,000 to \$3,500. (Id., ¶8.)

He states that he does not own any real estate or brokerage accounts. (Id., ¶9.)

Zavela's

Income and Expense Declaration (FL-150 form) is not signed or dated. Furthermore, it is not supported by any further documentation, such as bank account records, tax returns, etc. With respect to the February 24, 2026 letter entitled "Information regarding your rate check inquiry," Wells Fargo states:

"Thank you for requesting personalized rates and payments for a Wells Fargo Personal Loan. We are not able to provide you rate and payment estimate at this time. ... You may submit another rate check inquiry after 30 days of the date of this letter." Zavela did not include any information regarding his \$75,000 loan application nor does this letter explicitly state that Wells Fargo was in fact rejecting the loan application for the \$75,000 amount (it may be that Wells Fargo would approve a lesser amount upon reapplication after 30 days).

Next,

Ryde's CEO, Roman Dombrovsky, states that Ryde's Profit and Loss Statements reflected an income of \$40,241.05 for 2024 and -\$274,867.98 for 2025. (Dombrovsky Decl., ¶6, Ex. A [2024 and 2025 Profit and Loss Statements.] He states

that Ryde's only notable asset is a Bank of America checking account with an approximate balance of \$70,000, but the funds are needed for Ryde's ongoing business operations. (Id.,

¶7.) Mr. Dombrovsky states that Ryde does not own any real estate and does not have assets in the amount of \$416,082.20 (for the judgment amount). (Id.,

¶ 8-9.) He states that Ryde will suffer prejudice if the Court does not grant this motion given Ryde's limited assets and operating capital and that it will suffer irreparable reputational harm and would be required to curtail projects, layoff employees, suspend services, etc. (Id., ¶¶10-12.) He contends that

Plaintiff will not suffer harm if the enforcement of judgment were stayed as it will not reduce Plaintiff's award. (Id.,

¶13.)

It is

unclear how the 2024 and 2025 Profit and Loss Statements were calculated and produced, who performed the calculations, whether they are accurate representations of Ryde's finances, etc. The statements include the subheadings for "Equip Your Gym," but do not include other information such as for Rental Gym Equipment or Gym Equipment Rental (or any other fictitious business names Ryde may have used). Ryde too did not provide any tax returns or bank account information, including any Bank of America account statements. At this stage, the Court cannot verify Ryde's financial status and whether the Profit and Loss Statements capture an accurate representation of its finances.

In opposition, Plaintiff argues that Defendants have consistently failed to produce financial information. Alternatively, Plaintiff argues that the Court should defer ruling on this motion until Defendants sit for their judgment debtor examinations and produce documents. (Opp. at p.12.)

Without more, the Court finds that Defendants have not established their burden in showing that they are entitled to a discretionary waiver or modification of the undertaking requirement. (See *Cardinal Care Management, LLC v. Afafe* (2020) 47 Cal.App.5th 1011, 1020 [finding that the appellants' showing of indigency was conclusory with "no specification of any detail, any facts, any reasons why, any anything," such that it was "no abuse of discretion to deny relief from an undertaking where, as here, a litigant has made only a 'weak and incomplete showing of indigency.'"].) Thus, the motion may be denied on this basis.

Second, the Court considers the factors, if relevant, including: the character of the action or proceeding, the nature of the beneficiary/Plaintiff (whether public or private), and the potential harm to Plaintiff if the provision for the bond is waived. Plaintiff argues argue the Judgment arose due to Defendants' willful misconduct through discovery abuses, misrepresentation, and contempt of Court orders. (Opp. at pp.5-11.) This Court and the parties are well aware of the factual and procedural background of the parties' dispute and discovery violations. Defendants engaged in a pattern and practice of claiming documents did not exist, discovery was complied with when in fact Plaintiff showed such representations were not accurate. Ultimately the Defendants actions resulted

in terminating sanctions.

Additionally,

Plaintiff argues that it would be prejudiced if the bond requirement was waived. Plaintiff points to Defendants' conduct violating a temporary restraining order, preliminary injunction, and two discovery order. Plaintiff also contends that Ryde and Jarvel's corporate structure facilitates the concealment of or dissipation of assets.

In light

of the factors discussed above regarding Defendants' failure to show their indigent status and Plaintiff's claim for prejudice, the Court declines to exercise its discretion to grant this motion for waiver or modification of undertaking.

#### ANALYSIS

##### RE MOTION TO QUASH:

A.

Legal Standard

C.C.P. §

1987.1(a) states:

(a)

If a subpoena requires the attendance of a witness or the production of books, documents, electronically stored information, or other things before a court, or at the trial of an issue therein, or at the taking of a deposition, the court, upon motion reasonably made by any person described in subdivision (b), or upon the court's own motion after giving counsel notice and an opportunity to be heard, may make an order quashing the subpoena entirely, modifying it, or directing compliance with it upon those terms or conditions as the court shall declare, including protective orders. In addition, the court may make any other order as may be appropriate to protect the person from unreasonable or oppressive demands, including

(C.C.P. §

1987.1(a).)

C.C.P. §

2017.020 states:

(a)

The court shall limit the scope of discovery if it determines that the burden, expense, or intrusiveness of that discovery clearly outweighs the likelihood that the information sought will lead to the discovery of admissible evidence.

The court may make this determination pursuant to a motion for protective order by a party or other affected person. This motion shall be accompanied by a meet and confer declaration under Section 2016.040.

(b)

The court shall impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) against any party, person, or attorney who unsuccessfully makes or opposes a motion for a protective order, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.

(c)(1)

Notwithstanding subdivision (b), or any other section of this title, absent exceptional circumstances, the court shall not impose sanctions on a party or any attorney of a party for failure to provide electronically stored information that has been lost, damaged, altered, or overwritten as the result of the routine, good faith operation of an electronic information system.

(2)

This subdivision shall not be construed to alter any obligation to preserve discoverable information.

(C.C.P. §

2017.020.)

B.

Evidentiary

Objections

With

Plaintiff's Notice of Nonexistent Case Citations, Plaintiff submitted evidentiary objections to Defendants' reply brief and the accompanying declaration of defense counsel Noah Green.

The objections are not enumerated but the Court will consider them in consecutive order. Objection No. 1 is sustained as to Mr. Green's declaration at paragraphs 6 (regarding Jarvel's dismissal as it was "without" prejudice). Objection Nos. 2 and 6 regarding the meet and confer efforts are overruled. Objection No. 3 to the citation to Mr. Green's declaration at paragraphs 8 and 13 regarding the nature of finances between Ryde and Jarvel is granted. Objection Nos. 4 and 5 to citations to Mr. Green's declaration at paragraphs 10-11 regarding trade secrets is sustained as he is not an officer or agent of the entities. With respect to arguments in the reply brief, the objections are overruled as arguments are not evidence.

C.

Discussion

Defendants

Zavela and Ryde and dismissed/non-party Jarvel Enterprises, LLC ("Jarvel") move to: (1) quash or modify the subpoena duces tecum served on Zavela on April 10, 2026; (2) quash or modify the subpoena duces tecum served on Ryde on April 21, 2026; (3) quash the subpoena for production of business records served on Jarvel on April 24, 2026; and (4) issue a protective order pursuant to C.C.P. §§ 1987.1 and 2017.020 to protect the privacy and propriety interests of the moving parties and third parties.

Defendants

acknowledge Plaintiff's right to seek information regarding assets to satisfy a judgment, but contend that the subpoenas represent an invasive "fishing expedition" that violates financial privacy and corporate separateness. They argue that Plaintiff improperly seeks to violate the tax return privilege, targets a dismissed non-party and its financial records, seeks alter-ego discovery without any legal or factual basis to pierce the corporate veil, invades third-party privacy and trade secrets, and includes overbroad personal discovery. They contend they offered complete, unredacted corporate and personal bank statements to facilitate asset tracing, but such offer was rejected by Plaintiff. (Reply at p.2.)

The Subpoena

Duces Tecum issued on Zavela, Ryde, and Ryde's PMK Roman Dombrovsky ("Debtor

Subpoena”) seeks seven categories of documents and 22 document requests, including: (1) Bank and Financial Accounts; (2) Intercompany Transfers (Ryde/Jarvel); (3) Tax Returns; (4) Compensation and Distributions; (5) Corporate Records and Ownership (of Ryde and Jarvel); (6) Accounts Receivable and Customer Contracts (of Ryde and Jarvel); and (7) Zavela’s Personal Assets. (Mot., Ex. A.)

#### The Deposition

Subpoena for Production of Business Records issued on Jarvel (“Debtor Subpoena”) seeks six categories of documents and 31 document requests, including: (1) Ownership and Control of Jarvel by Judgment Debtors; (2) Transfers of Funds and Assets from Ryde to Jarvel; (3) Transfer of Customers and Revenue from Ryde to Jarvel; (4) Compensation Paid to Judgment Debtors Through Jarvel; (5) Financial Records Reflecting the Ryde/Jarvel Relationship; and (6) Commingled Operations and Shared Resources with Ryde. (Mot., Ex. B.)

1.

Zavela and  
Ryde

#### Defendants

argue that the documents sought are privileged by the tax return privilege.

“Tax returns are privileged from disclosure.” (Strawn v. Morris, Polich & Purdy, LLP (2019) 30 Cal.App.5th 1087, 1098.) California

recognizes a statutory privilege against disclosing tax returns, which is intended to encourage the voluntary filing of tax returns and truthful reporting of income. (Li v. Yan (2016) 247 Cal.App.4th 56, 66.) However, the privilege is

not absolute and will not be upheld when: “(1)

the circumstances indicate an intentional waiver of the privilege; (2) the gravamen of the lawsuit is inconsistent with the privilege; or (3) a public policy greater than that of the confidentiality of tax returns is involved.” (Id.) Further, with regard to

corporate tax information, such documents are discoverable as business records. (Schnabel v. Superior Court (1993) 5 Cal.4th 704, 708.)

#### Defendants argue

that they have always maintained the confidentiality of their records and never

put their tax records at issue in this action.

They also argue that Defendants have already subpoenaed bank and financial statements in Categories 1 and 11, such that tax records in Category 3 are not necessary. Though they have disclosed their income, they contend they did not waive the tax privilege and that Plaintiff may use bank statements to verify their finances.

In opposition,

Plaintiff argues that Defendants put their financial condition at issue by filing the aforementioned Motion for Waiver or Modification of Undertaking, wherein they declared and/or represented their financial condition. Plaintiff seeks tax records and K-1 schedules to help reveal ownership interests, distributions, and income from pass-through entities that do not appear on bank statements.

Plaintiff also represents that Defendants have not produced any bank statements.

As discussed

above, the Court notes that Defendants' declaration and evidence were insufficient to show its indigent status and that a greater showing with supporting documents was required. At this stage, Defendants are arguing in blanket terms that they have little-to-no assets without any documentary support.

The Court denies

the motion to quash/modify the Debtor Subpoena with respect to Ryde regarding corporate tax information (Category 3) and finds that the records are discoverable.

With respect to

Zavela, the Court finds that under the unique circumstances of this case, including prior discovery violations, and in order to verify Zavela's assets (as his unsupported declaration statements alone in support of the Motion for Waiver or Modification of Undertaking were insufficient), the Court will order the production of Zavela's tax records (Category 3) as well. However, to preserve the confidentiality of these documents, the Court will order the document be produced subject to the parties' protective order (entered November 27, 2023). These tax returns may be redacted to show sources of income only and the filers name.

Other personal identifying information such as social security numbers may be redacted, as well as other information which is not associated with income and income sources.

2.

Jarvel

Defendants argue

that the subpoenas are improper against Jarvel because it is a dismissed non-party, Plaintiff cannot use a debtor's exam to audit a non-party under *Hooser v. Superior Court* (2000) 84 Cal.App.4th 997, the Jarvel Subpoena violates the "Stranger in the Action" rule in *Valley Bank of Nevada v. Superior Court* (1975) 15 Cal.3d 652, and the demand for internal transfers is an improper end-run around corporate formalities.

First,

the Court addresses the *Valley Bank of Nevada v. Superior Court* (1975) 15 Cal.3d 652 case. Defendants argue that Plaintiff improperly seeks "alter ego" discovery and third-party data to bypass corporate formalities in the Jarvel Subpoena. Defendants rely on *Valley Bank*, arguing the Jarvel Subpoena violates the "Stranger to the Action" rule.

In *Valley*

*Bank*, the real parties in interest noticed the bank's chairman's deposition and requested documents pertaining to loan transactions between the bank and seven named persons/corporations, and record of banking relationships with a union. The bank objected to protect the privacy of its customers. The Supreme Court considered under what circumstances a litigant may, through ordinary civil discovery procedures, obtain from a bank information disclosed to it in confidence by a customer. (*Valley Bank*, supra, 15 Cal.3d at 654.) The

Court noted that the record supported a conclusion that the requested information was relevant to the real parties' defense in the action. (Id. at 655.) The Court found that there must be a careful balance of the right of litigants to discover relevant facts with bank customers' right to maintain reasonable privacy regarding their financial affairs. (Id. at 657.) The

Supreme Court concluded that "although such information is discoverable in a proper case, nevertheless the bank must first take reasonable steps to locate the customer, inform him of the discovery proceedings, and provide him a reasonable opportunity to interpose objections and seek appropriate protective orders." (Id. at 654.) It further stated: "With respect to bank customer information, the trial court has available certain procedural devices which may be useful in fashioning an appropriate order that will, so far as



possible, accommodate considerations of both disclosure and confidentiality. These include deletion of the customer's name (evidently inappropriate in the instant case), ordering that the information be sealed, to be opened only on further order of court [citation], and the holding of in camera hearings. There may well be others which ingenious courts and counsel may develop." (Id. at 658-659.)

The Court

finds Valley Bank to be factually and legally distinguishable from this action. This action does not involve a bank faced with a subpoena seeking the disclosure of bank customers' financial records. As such, the Supreme Court's guidance regarding the bank's reasonable steps does not apply to the facts of this case.

In

opposition, Plaintiff argues that this is not a situation where Jarvel is a "stranger" to the action. (Opp. at pp.13-14.) Plaintiff provides evidence that Ryde and Jarvel share the same ownership and management under Roman Dombrovsky and Yovahny Grazziani and same agent for service of process, Jeff Muyrong. (Opp. at Ex. 6 [Secretary of State, Statements of Information].) Plaintiff contends that they share addresses: Ryde is located at as well as addresses at 6017 Scott Way, Long Beach, CA 90813, while Jarvel's address is 6017 Scott Way, Commerce, CA 90040. (Id.)

Plaintiff

contends that Ryde and Jarvel do business as "Equip Your Gym" (based on Ryde's Profit and Loss Statements) and Jarvel also does business as "Gym Equipment Rental" and "Rental Gym Equipment." (Weisberg Decl., ¶¶8, 13, Ex. 11.)

Mr. Dombrovsky holds himself out as the founder and CEO of Equip Your Gym and Gym Equipment Rental for wholesale and rental of gym equipment, to which Plaintiff argues shows that he engages in both Ryde's wholesale business and Jarvel's rental business under one identity. (Id., Ex. 10.) Plaintiff provides Zavela's November 16, 2023 and April 8, 2024 declarations wherein he states that he is the current Director of Sales of Ryde since April 2023.

(Opp. at Ex. 12 [Zavela November 16, 2023 Decl., ¶¶3-4]; Ex. 13 [Zavela April 8, 2024 Decl., ¶¶3-4].) However, Plaintiff's counsel Michael P. Weisberg states that Jarvel (as opposed to Ryde)

produced an employment agreement with Zavela.

Mr. Weisberg did not attach the document in case the “Confidential” sticker on the document was in connection with the protective order (as opposed to a pre-existing “Confidential” sticker at the time of signing the employment agreement) and states he will provide the document to the Court for an in camera inspection at the hearing.

(Weisberg Decl., ¶8.) Plaintiff

argues that the fact that Zavela himself is confused by or has contradicted who is employer is shows a lack of distinction between Ryde and Jarvel.

Plaintiff

also argues that Ryde and Jarvel share business interests, providing the Fullerton Marriott Hotel as an example.

Plaintiff contends that from August to September 2023, Zavela (using email address [email protected]) solicited business from Fullerton Marriott Hotel but the contract, insurance, and W-9 were in Jarvel Enterprises LLC dba Rental Gym Equipment’s name.

Exhibit 9 includes Zavela’s emails, a Certificate of Liability Insurance and W-9 issued to Jarvel Emprises dba Gym Equipment Rental, and a Gym Equipment Rental contract. (Weisberg Decl., Ex.

9; see also Ex. 14 [Zavela’s email to insurer to change the insured from Ryde to Jarvel].)

The Court

does not find that Valley Bank apply in this instance and finds sufficient connection between Jarval and the judgment debtors. Nonetheless, will quash in part and deny in part quashing the subpoenas directed at Jarvel.

Second, Defendants

rely on *Hooser v. Superior Court* (2000) 84 Cal.App.4th 997, disapproved by *Williams v. Superior Court* (2017) 3 Cal.5th 531, 557 (“To the extent prior cases require a party seeking discovery of private information to always establish a compelling interest or compelling need, without regard to the other considerations articulated in *Hill v. National Collegiate Athletic Assn.*, supra, 7 Cal.4th 1, 26 Cal.Rptr.2d 834, 865 P.2d 633, they are disapproved.”). In *Hooser*, the plaintiff sued her attorney for misappropriation of funds and obtained a judgment in her favor. To collect on the judgment, she served the defendant with an order to appear for judgment debtor’s examination and a subpoena duces tecum, seeking the production of a

list of clients, all filed and unfiled current claims/cases, all his bank statements, all bank statements for his attorney-client trust accounts. (Hooser, *supra*, 84 Cal.App.4th at 1001.) The defendant filed a motion to quash, asserting the attorney-client privilege.

The Court of Appeal found that defendant may be compelled to disclose information regarding his filed claims/cases, as well as unfiled claims/cases and prospective payors, except insofar as such information includes the identities of clients whose relationship with defendant were yet undisclosed to third parties. (*Id.* at 1007-08.) With respect to client trust account information, the Court of Appeal stated:

It is clear from the foregoing that [plaintiff] Ray is entitled to discover from [defendant] Hooser information regarding the funds received and held by him in trust for her. However, Hooser's other clients have a right of privacy as to their financial affairs. (*Valley Bank of Nevada v. Superior Court*, *supra*, 15 Cal.3d at p. 656.) Thus, to the extent that the requested bank statements contain information tying Hooser's other clients to funds held on their behalf, Ray's requests implicate those clients' privacy rights. Ray's right to discover such information depends on whether she can establish a compelling need for the bank statements that outweighs the other clients' privacy interests. We conclude that she has not made such a showing.

(Hooser, *supra*, 84 Cal.App.4th at 1008.)

As stated above, Hooser was disapproved “[t]o the extent prior cases require a party seeking discovery of private information to always establish a compelling interest or compelling need, without regard to the other considerations articulated in *Hill* ....” (*Williams*, *supra*, 3 Cal.5th at 557.) The *Williams* Court summarized the *Hill* framework for evaluating potential invasions of privacy as follows:

The party asserting a privacy right must establish a legally protected privacy interest, an objectively reasonable expectation of privacy in the given circumstances, and a threatened intrusion that is serious. (*Id.* at pp.

35–37, 26 Cal.Rptr.2d 834, 865 P.2d 633.) The party seeking information may raise in response whatever legitimate and important countervailing interests disclosure serves, while the party seeking protection may identify feasible alternatives that serve the same interests or protective measures that would diminish the loss of privacy. A court must then balance these competing considerations. (Id. at pp. 37–40, 26 Cal.Rptr.2d 834, 865 P.2d 633.)

(Williams,  
supra, 3 Cal.5th at 552.)

Relying  
on Hooser, Defendants argue that Plaintiff's broad discovery rights are limited by the constitutional right of privacy and that Hooser specifically ruled that a creditor could not compel a third party to reveal private financial dealings without a specific showing of relevance. In this instance, relevance has been shown for the reasons stated in the opposition.

The mere fact  
that Jarvel is no longer a party to this action does not shield it from subpoenas. Plaintiff argues that under C.C.P. § 708.130, third parties may be subject to discovery. (C.C.P. § 708.130(a) [generally stating that “witnesses” may be “required to appear and testify before the court or referee in an examination proceeding under this article in the same manner as upon the trial of an issue.”].) Plaintiff argues that there is a compelling need to trace judgment debtor assets that may be held by a third party, particularly since Jarvel is paying expenses relating to the same space and employees shared by Ryde. (Plaintiff clarifies in its opposition that it is not seeking to establish alter ego liability as judgment has already been entered; rather, it seeks to identify Defendants' assets, including potentially transferred to and held by Jarvel. [Opp. at p.15.]

However,  
at this point, the Court cannot ascertain what financial or business relationships Ryde has with Jarvel. The parties indicate that Ryde conducts sales while Jarvel provides rentals. Without more, the Court declines to compel Jarvel to produce its tax records without a greater showing from Plaintiff that such records are necessary. Although Plaintiff claims that Ryde has or may have transferred assets to Jarvel, no evidentiary proof of this assertion has been provided. As a result, the subpoena will only be permitted in part. Thus, the motion to

quash or modify the Debtor Subpoena seeking Jarvel's tax records (Category 3) is granted. However, if Plaintiff can show a compelling need for the tax records or inter-company records following alternative, less intrusive means of discovery, it may file a motion to that affect with supporting evidence. Any subsequent order would include redaction of information not related to the inquiry at hand.

The motion to quash the Subpoenas as directed against Jarvel is granted in part only as to:

-

Category 1:

1.1 and 1.2

-

Category 2: 2.7

-

Category 3: 3.2

and 3.5

-

Category 4: denied

as to all

-

Category 5: 5.1,

5.2, and 5.3

-

Category 6: 6.2

and 6.3

3.

Remaining Objections

Defendants

object that the general ledgers and internal transfer records requests are

unduly burdensome and oppressive in scope as they seek nearly four years of documents and would require the review and redaction of hundreds of pages of confidential documents. (The requests are from January 1, 2023 to the present, such that they seek three years—not four years of records.)

The Court

finds that the timeframe is not unduly burdensome and only seeks three years of documents, which is reasonable as the action was commenced on October 10, 2023. Furthermore, other than arguing in a conclusory fashion, Defendants have not stated how the documents are burdensome in scope. This objection is overruled.

Next,

Defendants argue the subpoenas demand proprietary information, including transfers of value, customer lease and service agreements, etc. (Categories 6 and 11). However, these documents are relevant to ascertain Defendants' assets.

If Defendants determine the documents contain proprietary information, it may produce the documents by designating them as "confidential" pursuant to the parties' protective order.

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RULING:

In the

event a party requests a signed order or the court in its discretion elects to sign a formal order, the following form will be either electronically signed or signed in hard copy and entered into the court's records.

ORDER

Defendants'

Motion for Waiver or Modification of Undertaking and/or Stay Enforcement Pending Appeal and Motion to Quash the Subpoena Duces Tecum came on regularly for hearing on June 26, 2026, with appearances/submissions as noted in the minute order for said hearing, and the court, being fully advised in the premises, did then and there rule as follows:

DEFENDANTS

LANCE ZAVELA AND RYDE ENTERPRISES, LLC'S MOTION FOR WAIVER OR MODIFICATION OF UNDERTAKING AND/OR STAY ENFORCEMENT PENDING APPEAL IS DENIED WITHOUT PREJUDICE.

DEFENDANTS

LANCE ZAVELA AND RYDE ENTERPRISES, LLC AND NON-PARTY JARVEL ENTERPRISE, LLC'S MOTION TO QUASH THE SUBPOENA DUCES TECUM IN CONNECTION WITH THE JUDGMENT DEBTORS' EXAMINATION IS GRANTED IN PART AND DENIED IN PART. THE MOTION IS GRANTED IN PART AS TO THE DEBTOR SUBPOENA REGARDING REQUESTS FOR PRODUCTION 3, 8, 14, AND 18.

AS TO THE

JARVEL SUBPOENA, THE MOTION TO QUASH IS GRANTED IN PART AS TO SUB-CATEGORIES 1.1, 1.2, 2.7, 3.2, 3.5, 5.1, 5.2, 5.3, 6.2 AND 6.3, AND DENIED AS TO THE REMAINDER.

PLAINTIFF TO GIVE NOTICE.

IT IS SO  
ORDERED.